

Student: _____
Date: _____
Time: _____

Instructor: Alejandro Melo Ponce
Course: ECO108-Summer 2015
Book: Miller: Economics Today 18e

Assignment: Assignment 1

1. Economics is
- ☐ A. the study of how the stock market works.
 - ☐ B. the study of how unlimited resources are allocated to satisfy limited wants.
 - ☐ C. the study of how limited resources are allocated to satisfy unlimited wants.
 - ☐ D. the study of money.

Answer: C

2. One reason that economists use microeconomics as the basis of macroeconomic analysis is
- ☐ A. macroeconomics is just microeconomics applied to different questions.
 - ☐ B. that all choices are made by individuals and firms.
 - ☐ C. that the small details are more important than the large overview.
 - ☐ D. microeconomic analysis was developed before macroeconomic analysis.

Answer: B

3. Which of the following would be a topic of study in macroeconomics?
- ☐ A. How many pairs of shoes Melissa buys.
 - ☐ B. The price of pizza in New York City.
 - ☐ C. How the Smith family budgets its income.
 - ☐ D. The output of the United States.

Answer: D

4. The three fundamental economic questions that a nation addresses in order to allocate society's scarce resources include all of the following *except*:
- ☐ A. What and how much will be produced?
 - ☐ B. How will the items be produced?
 - ☐ C. For whom will the items be produced?
 - ☐ D. Why will the items be produced?

Answer: D

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5. One of your classmates, Sally, is a hardworking student, serious about her classes, and conscientious about her grades. Sally is also involved, however, in volunteer activities and an extracurricular sport. Is Sally displaying **rational** behavior?
- ☐ A. No, leisure time is preferred — she should devote all of her time to sports.
- ☐ B. Yes, she is using her time allocated among school, studying, sports and volunteer work in a manner she deems best.
- ☐ C. No, if she is serious about grades, all of her time should be spent studying.
- ☐ D. Yes, she is devoting some of her time to the benefit and well-being of others even if her grades suffer.

Answer: B

6. Which of the following predictions appears to follow from a **model** based on the assumption that rational, self-interested individuals respond to incentives?
- a.** For every 10 exam points Myrna must earn in order to pass her economics course and meet her graduation requirements, she will study one additional hour for her economics test next week.
- ☐ A. Based on the rationality assumption. ☐ B. Not based on the rationality assumption.
- b.** A coin toss will best predict Leonardo's decision about whether to purchase an expensive business suit or an inexpensive casual outfit to wear next week when he interviews for a high-paying job he is seeking.
- ☐ A. Based on the rationality assumption. ☐ B. Not based on the rationality assumption.
- c.** Celeste, who uses earnings from her regularly scheduled hours of part-time work to pay for her room and board at college, will decide to buy a newly released DVD this week only if she is able to work two additional hours.
- ☐ A. Based on the rationality assumption. ☐ B. Not based on the rationality assumption.

Answers A

B

A

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7. Based on the recommendation of a friend, you buy a ticket and attend a movie with high expectations. After seeing the movie, you think that it is the worst film ever made and that it was a complete waste of money. This situation
- ☐ A. demonstrates that the rationality assumption is false because you were worse off for seeing the movie.
 - ☐ B. demonstrates that you behaved irrationally because you didn't get enough information prior to attending the movie.
 - ☐ C. has nothing to do with the rationality assumption.
 - ☐ D. is consistent with rational behavior because you had thought that you were going to like the movie.

Answer: D

8. Economics
- ☐ A. assumes individuals are rational and respond to different incentives.
 - ☐ B. assumes individuals really have no choices other than what society imposes on them.
 - ☐ C. assumes irrationality if people are paid enough.
 - ☐ D. assumes government involvement in the economy is always beneficial.

Answer: A

9. Which of the following statements best demonstrates the concept of *bounded rationality*?
- ☐ A. Individuals do not intentionally make decisions that would leave them worse off.
 - ☐ B. Individuals make decisions as if they had understood and examined every possible alternative.
 - ☐ C. Individuals make short-run choices that are not consistent with their long-term goals.
 - ☐ D. Individuals act in their own self-interest.

Answer: C

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10. To make predictions about how many apps a person will download onto her tablet device, an economist presumes that the individual faces limitations that make it impossible for her to examine every possible choice among relevant apps.

In examining the above decision-making process, the approach that the economist is following can best be described as the one that relies on

- ☐ A. the rationality assumption.
- ☐ B. the concept of normative economics.
- ☐ C. the assumption of bounded rationality.
- ☐ D. the "ceteris paribus" assumption.

In evaluating the price that an individual will be willing to pay for a given quantity of a particular type of health care service, a researcher assumes that the person considers all relevant health care options in pursuit of his own long-term satisfaction with resulting health outcomes.

In examining the above decision-making process, the approach that the researcher is following can best be described as the one that relies on

- ☐ A. the assumption of bounded rationality.
- ☐ B. the rationality assumption.
- ☐ C. the concept of normative economics.
- ☐ D. the "ceteris paribus" assumption.

To determine the amount of time that a person will decide to devote to watching online videos each week, an economist makes the assumption that the individual will feel overwhelmed by the sheer volume of videos available online and will respond by using a rule of thumb.

In examining the above decision-making process, the approach that the economist is following can best be described as the one that relies on

- ☐ A. the assumption of bounded rationality.
- ☐ B. the "ceteris paribus" assumption.
- ☐ C. the rationality assumption.
- ☐ D. the concept of normative economics.

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10. Answers C
(cont.) B
 A

11. An economic model is developed from a set of assumptions about consumer behavior and predicts that people will buy less of a good the higher the price of the good. Empirical testing of this model would involve

- ☐ A. checking the assumptions carefully to make sure that they realistically depict human behavior.
- ☐ B. the collection of data to evaluate the usefulness of the model.
- ☐ C. carefully tracing all steps from the assumptions to the implication to make sure there have been no errors in logic.
- ☐ D. asking a lot of people if they think the model is correct.

Answer: B

12. Which of the following is *not* true about economic models?

- ☐ A. Models are used to explain and predict human behavior.
- ☐ B. In comparing two models, the simpler one is better, other things equal.
- ☐ C. A model is a simplified representation of the real world.
- ☐ D. A good model must be realistic.

Answer: D

13. Which one of the following is a positive statement?

- ☐ A. The Fed should not have cut the interest rate so frequently.
- ☐ B. A tax cut should be better for stimulating the economy than a cut in the interest rate.
- ☐ C. All these interest rate cuts should have helped the economy.
- ☐ D. The Fed has cut the key interest rate several times this year.

Answer: D

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14. A politician states "taxes should be raised to provide more spending on school lunch programs." This is

- ☐ A. a ceteris paribus assumption.
- ☐ B. a normative economic statement.
- ☐ C. a positive economic statement.
- ☐ D. an economic fact.

Answer: B

15. An increase in the price of cigarettes will reduce the amount of cigarettes purchased. This is

- ☐ A. a negative economic statement.
- ☐ B. a normative economic statement.
- ☐ C. a positive economic statement.
- ☐ D. an economic assumption.

Answer: C

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16. Explain which is the **independent variable** and which is the **dependent variable** for each of the following examples.

a. Once you determine the price of a notebook at the college bookstore, you will decide how many notebooks to buy.

Number of notebooks to buy

Dependent variable
Independent variable

Price of a notebook

Dependent variable
Independent variable

b. You will decide how many credit hours to register for this semester once the university tells you how many work-study hours you will be assigned.

Number of credit hours

Dependent variable
Independent variable

Work-study hours assigned

Dependent variable
Independent variable

c. You anticipate earning a higher grade on your next economics exam because you studied more hours in the weeks preceding the exam.

Hours studying

Dependent variable
Independent variable

Your anticipated grade.

Dependent variable
Independent variable

Answers **Dependent variable**
 Independent variable
 Dependent variable

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16. Independent variable
(cont.) Independent variable
Dependent variable

17. What kind of relationship is shown in the table?

- ☐ A. A non-linear relationship.
☐ B. A direct relationship.
☐ C. An inverse relationship.
☐ D. A constant relationship.

Units Produced	Total Cost
1	2
5	6
9	10

Answer: B

18. Scarcity

- ☐ A. results from unlimited resources coupled with limited wants.
☐ B. results from unlimited wants coupled with limited resources.
☐ C. is the same thing in economic terminology as a shortage.
☐ D. can be eliminated with improvements in technology.

Answer: B

19. Any activity that results in the conversion of resources into products that can be used in consumption is called

- ☐ A. substitution.
☐ B. derived demand.
☐ C. production.
☐ D. transformation.

Answer: C

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20. Why do economists avoid making the distinction between *wants* and *needs*?
- ☐ A. Individual wants are limited making it easier for economists to address this concept.
 - ☐ B. Every individual has exactly the same set of needs. Economists consider individual wants because they differ from one individual to another.
 - ☐ C. The term need is subjective making it difficult to distinguish between something someone wants and something they need.
 - ☐ D. Individual needs do not exist so it is necessary to only consider individuals' wants.

Answer: C

21. When an individual proclaims the need for a new car, the person typically means
- ☐ A. that without a new car, their life cannot go on.
 - ☐ B. they want something they currently do not have.
 - ☐ C. that having such a possession would be nirvana.
 - ☐ D. that their ability to get around will cease.

Answer: B

22. Which of the following best demonstrates the concept of scarcity?
- ☐ A. You can only buy 2 gallons of milk at the special sale price.
 - ☐ B. After a hurricane, a grocery store sells out of ice and cannot get more soon.
 - ☐ C. In the 1970s, there were long lines at gas stations, and not all customers could fill up.
 - ☐ D. Stephanie has to choose between playing basketball and swimming after school.

Answer: D

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23. If you receive a free ticket to a concert, what, if anything, is your opportunity cost of attending the concert?

- ☐ A. The pleasure yielded by the concert cancels any costs. Thus, there is no cost of any type.
- ☐ B. The concept of opportunity cost does not apply to intangibles like concerts.
- ☐ C. The next best activity that can't be done while attending the concert.
- ☐ D. Since the ticket was a gift, there is no opportunity cost.

If miserable weather on the night of the concert requires you to leave much earlier for the concert hall and greatly extends the time it takes to get home afterward, the opportunity cost of

attending the concert

increases
is unaffected
decreases

Answers C

increases

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24. Recently, a woman named Mary Krawiec attended an auction in Troy, New York. At the auction, a bank was seeking to sell a foreclosed property: a large Victorian house suffering from years of neglect in a neighborhood in which many properties had been on the market for years yet remained unsold. Her \$10 offer was the highest bid in the auction, and she handed over a \$10 bill for a title to ownership. Once she acquired the house, however, she became responsible for all taxes on the property amounting to \$4,000 and for an overdue water bill of \$2,500. In addition, to make the house habitable, she and her husband devoted months of time and unpaid labor to renovating the property. In the process, they incurred explicit expenses totaling \$63,328.

Calculate Mary Krawiec's explicit cost. \$. (Round your response to the nearest integer.)

Mary Krawiec's total cost is her explicit cost.

higher than
equal to
lower than

If the bank were to own the property, its total costs were likely to be Mary

equal to
lower than
higher than

Krawiec's explicit cost.

The bank was willing to sell the house at auction to Ms. Krawiec for only \$10 because if the bank paid to renovate the property, paid the back taxes, and paid the overdue water bill,

- ☐ A. the expected selling price for the property would have been higher than Mary Krawiec's total costs.
- ☐ B. the expected selling price for the property would have been only ten percent higher than the bank's total costs.
- ☐ C. the expected selling price for the property would have been higher than Mary Krawiec's explicit costs.
- ☐ D. the expected selling price for the property would have been lower than the bank's total costs.

Answers 69,838

higher than

higher than

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24.

D

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25. The following table illustrates the points a student can earn on examinations in economics and biology if the student uses all available hours for study.

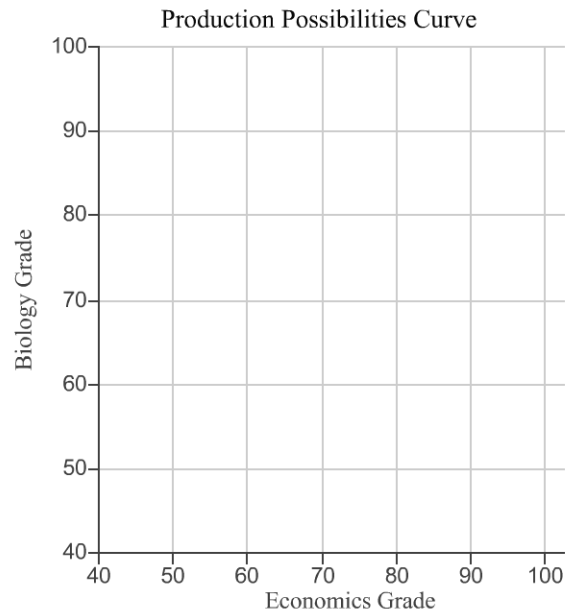
Economics	Biology
100	40
90	50
80	60
70	70
60	80
50	90
40	100

On the graph to the right:

1.) *Using the point drawing tool*, plot each of the seven grade combinations. Do *not* label these points.

2.) *Using the line drawing tool*, draw a line connecting these points to form the student's production possibilities curve. Properly label this line.

Carefully follow the instructions above, and only draw the required objects.

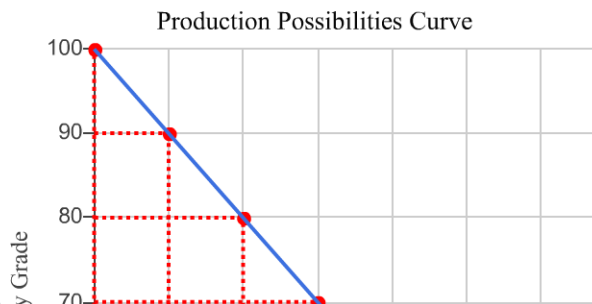


This PPC illustrates

increasing
decreasing
constant

opportunity

costs.

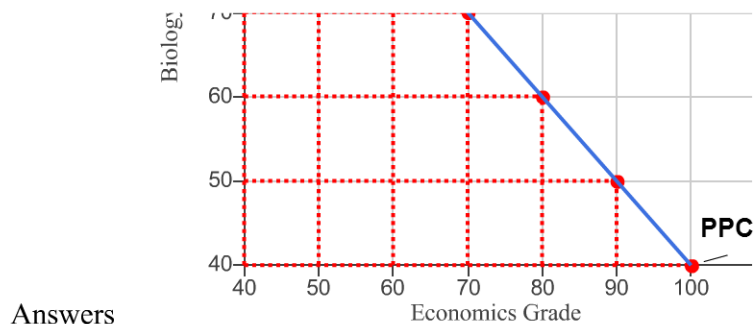


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25.
(cont.)



constant

26. Based on the information provided in the table to the right, the opportunity cost to this student of allocating enough additional study time on economics to move her grade up from a 90 to a 100 is a reduction in her biology grade of points.

Economics	Biology
100	40
90	50
80	60
70	70
60	80
50	90
40	100

Answer: 10

27. Opportunity cost

- ☐ A. only is considered for goods in short supply.
- ☐ B. is the value of all alternatives forgone as a result of choosing some given alternative.
- ☐ C. is the value of the next best alternative as a result of choosing some given alternative.
- ☐ D. either B or C.

Answer: C

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28. The following table lists the costs incurred by a student attending a public university for one semester.

Tuition and Fees	\$10,000
Room and Board	\$1,000
Books and supplies	\$ 750
Lost wages	\$7,500

What is the total opportunity cost that the student incurs by attending college for one semester?

- ☐ A. \$11,000.
☐ B. \$18,250.
☐ C. \$19,250
☐ D. \$10,750.

Answer: B

-
29. A production possibilities curve represents

- ☐ A. all possible combinations of output that could be produced at zero opportunity cost.
☐ B. all possible combinations of output that could be produced assuming changing technology.
☐ C. all possible combinations of output that could be produced assuming fixed productive resources and their efficient use.
☐ D. the notion that greater quantities of all goods may be produced.

Answer: C

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30. Jennie is buying something for dinner. She can choose between chicken, steak, and salmon. She doesn't like salmon, and after some thought, she chooses chicken. What is the opportunity cost of this choice?
- ☐ A. The salmon.
 - ☐ B. The chicken, the steak, and the salmon.
 - ☐ C. The steak and the salmon.
 - ☐ D. The steak.

Answer: D

31. A production possibilities curve
- ☐ A. defines the maximum quantity of one good or service that can be produced, given that a specific quantity of another is produced.
 - ☐ B. shows the possibilities available for increasing the output of one good or service by reducing the amount of another.
 - ☐ C. represents all possible combinations of maximum outputs that could be produced, assuming a fixed amount of productive resources of a given quality.
 - ☐ D. All of the above.

Answer: D

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32. Consider the table below. The student's set of opportunities is now as follows:

Economics	Biology
100	40
90	60
80	75
70	85
60	93
50	98
40	100

On the graph to the right:

1.) Using the point drawing tool, plot the four yellow highlighted grade combinations. Do *not* label these points.

2.) Using the 4-point curved line drawing tool, draw a curve through these points to form the student's PPC. Properly label this curve.

Carefully follow the instructions above, and only draw the required objects.

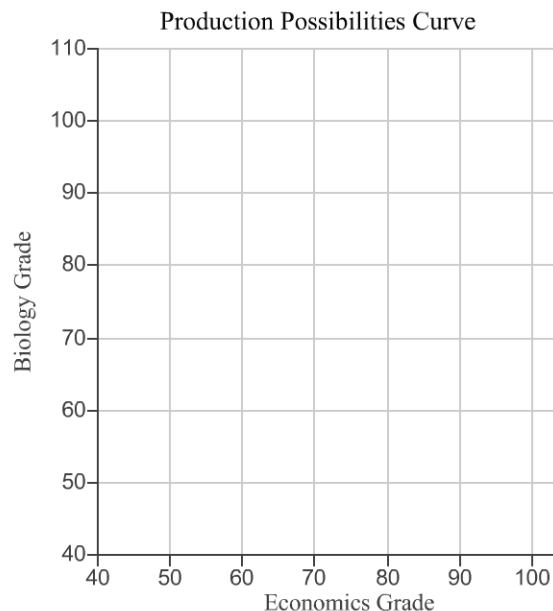
Using your graph, does the PPC illustrate the

law of increasing additional cost?

yes
no

Using the data in the table above, the opportunity cost to this student for the additional amount of study time on economics required to move her grade from 60 to 70 is biology points.

Using the data in the table above, the opportunity cost to this student for the additional amount of study time on economics required to move her grade from 90 to 100 is biology points.

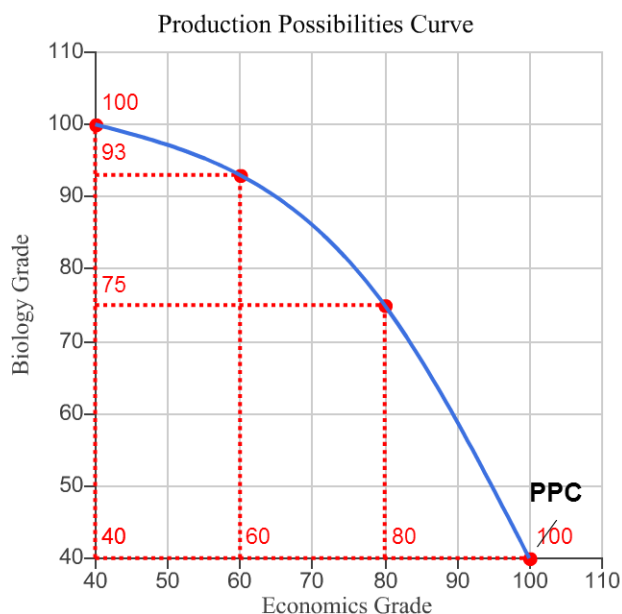


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32.
(cont.)



Answers

yes

8

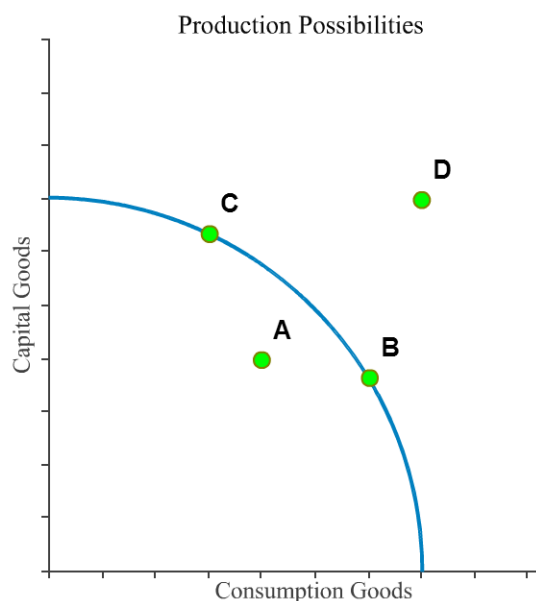
20

33.

During a debate on the floor of the U.S. Senate, Senator Creighton states,

"Our nation should not devote so many of its fully employed resources to producing capital goods because we already are not producing enough consumption goods for our citizens."

Compared with the other labeled points on the diagram to the right, the one which could be consistent with the *current* production combination choice that Senator Creighton believes the nation has made is .



Answer: C

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34. A nation's residents can allocate their scarce resources either to producing consumption goods or to producing human capital — that is, providing themselves with training and education. The table to the right displays the production possibilities for this nation.

If the nation's residents currently produce combination **A**, the opportunity cost of increasing the production of consumption goods by 10 units is units of human capital.

If the nation's residents currently produce combination **E**, the opportunity cost of increasing the production of consumption goods by 10 units is units of human capital.

Does the law of increasing relative cost hold true for this nation?

Answers 3
 25
 yes

Production Combination	Units of Consumption Goods	Units of Human Capital
A	0	100
B	10	97
C	20	90
D	30	75
E	40	55
F	50	30
G	60	0

35. A point inside the PPC means that

- ☐ A. resources are not being fully utilized due to unemployment or inefficiency.
☐ B. this particular economy has no comparative advantage in production any economic good.
☐ C. economic growth has taken place.
☐ D. one good has no opportunity cost relative to another.

Answer: A

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36. Which of the following statements about production possibilities curves is *not* true?

- ☐ A. A production possibilities curve illustrates the concept of opportunity cost.
- ☐ B. A production possibilities curve illustrates the concept of scarcity.
- ☐ C. A linear production possibilities curve illustrates the concept of efficiency.
- ☐ D. A linear production possibility curve illustrates the concept of increasing opportunity costs.

Answer: D

37. A production possibilities curve that is bowed outward (from the origin) represents the concept that

- ☐ A. opportunity costs are constant.
- ☐ B. production of additional units of one good requires that increasing quantities of the other good be given up.
- ☐ C. greater quantities of one good can be produced without reducing the production of other goods.
- ☐ D. resources are not scarce.

Answer: B

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38. In the accompanying graph construct a product possibilities curve for a nation with the following maximum output combinations.

	A	B	C	D
Food	5	4	2	0
Video Games	0	9	15	18

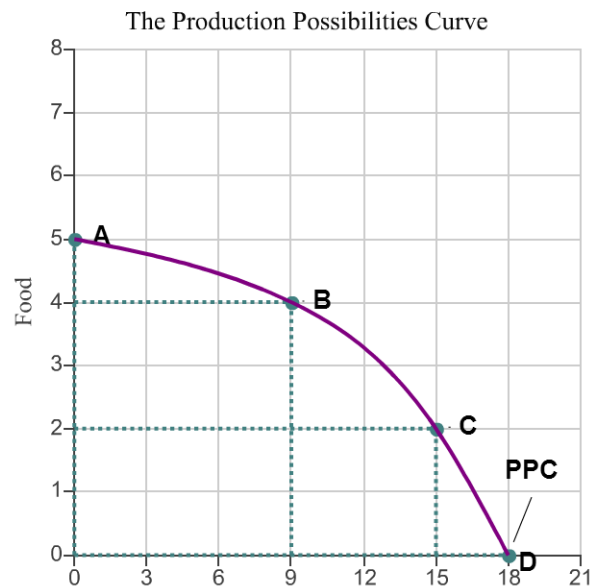
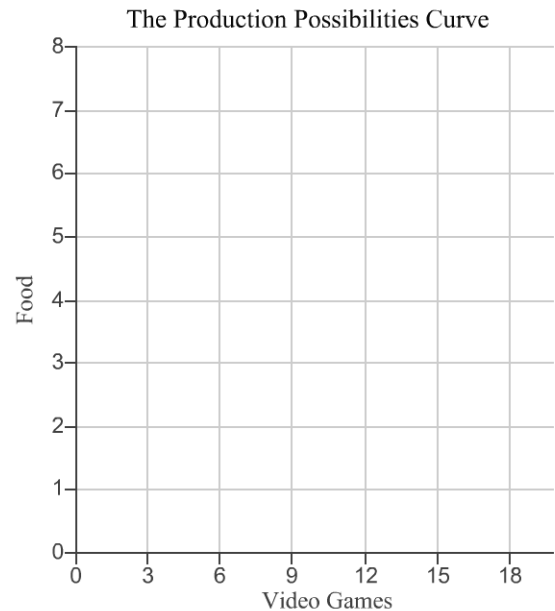
1.) Using the point drawing tool, plot the four output combinations from the table above. Properly label each point.

2.) Using the 4-point curved line drawing tool, draw a curve connecting these points. Label the curve 'PPC'.

Carefully follow the instructions above, and on the graph draw the required objects.

The shape of this outward bowed PPC is due to

- ☐ A. increasing opportunity costs.
- ☐ B. increased production efficiency.
- ☐ C. decreasing opportunity costs.
- ☐ D. constant opportunity costs.



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38.

Answers

Video Games

(cont.)

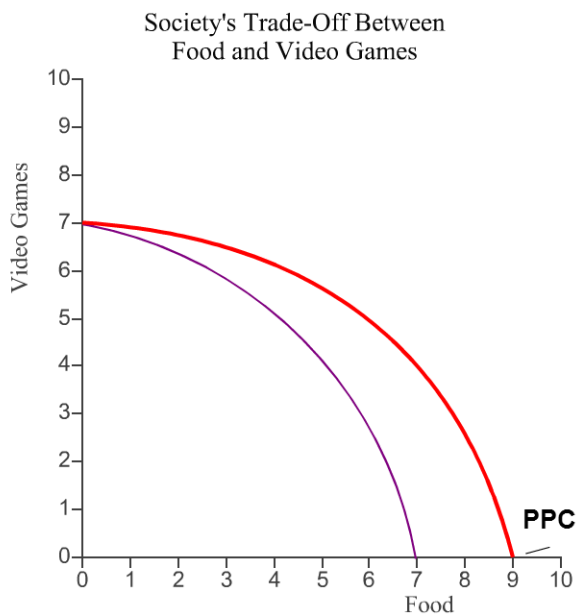
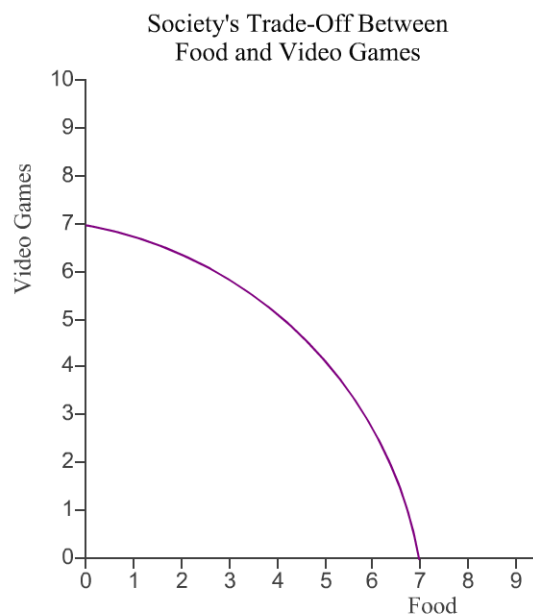
A

39.

In the diagram to the right a production possibilities curve (PPC) is shown for a nation facing increasing opportunity costs for producing food and video games.

Using the 3-point curved line drawing tool, show how the PPC changes given the invention of a new and better fertilizer. Properly label this curve.

Carefully follow the instructions above, and only draw the required object.



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40. The production possibilities curve will shift outward (upward, and or, to the right) when

- ☐ A. there is a reduction in labor.
- ☐ B. corporate profits increase.
- ☐ C. resources are used more efficiently.
- ☐ D. economic growth occurs.

Answer: D

41. Whenever a society forgoes current consumption in order to invest in capital goods,

- ☐ A. the easier it will be for the society to consume less in the future because people will become accustomed to less.
- ☐ B. the less society can consume next year.
- ☐ C. the less capital the society can produce in the future.
- ☐ D. the more the society can consume in the future.

Answer: D

42. Current production of capital goods means that

- ☐ A. more consumption goods can be produced now, since there are more production facilities.
- ☐ B. more resources are being exhausted, so total production will decrease.
- ☐ C. the production possibilities curve can be expected to shift outward in the future.
- ☐ D. the production possibilities curve will shift outward now.

Answer: C

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43. A professor with a Ph.D. in Economics can write a short essay in economics in 3 hours and can mow the lawn in 6 hours. A student in economics can write a short essay in economics in 6 hours and can mow the lawn in 6.5 hours. Which of the following statements is true?
- ☐ A. The professor should write the essay since he has the comparative advantage in writing.
 - ☐ B. The student should write the essay since he has the comparative advantage in writing.
 - ☐ C. The professor should do both the jobs as he can finish both jobs in a shorter period of time.
 - ☐ D. The professor should write the essay since he has the absolute advantage in writing.

Answer: A

44. Country A and country B produce the same consumption goods and capital goods and currently have *identical* production possibilities curves. They also have the same resources at present, and they have access to the same technology.

At present, does either country have a comparative advantage in producing capital goods?

Yes
No
Uncertain

Currently, country A has chosen to produce more consumption goods, compared with country B. Other things being equal, which country will experience the larger outward shift of its PPC

during the next year? Country B
Country A

Answers No

Country B

Student: _____
Date: _____
Time: _____

Instructor: Alejandro Melo Ponce
Course: ECO108-Summer 2015
Book: Miller: Economics Today 18e

Assignment: Assignment 1

45. The productivity gains achieved by specialization are due to
- ☐ A. scarcity.
 - ☐ B. absolute advantage.
 - ☐ C. comparative advantage.
 - ☐ D. lower opportunity costs from switching production from one good to another.

Answer: C

46. What is the difference between absolute advantage and comparative advantage?
- ☐ A. Comparative advantage is when someone can produce more of a good using a given quantity of inputs while absolute advantage is when someone can produce a good at a lower opportunity cost.
 - ☐ B. Absolute advantage is influenced by the law of increasing relative cost while comparative advantage is not.
 - ☐ C. Absolute advantage is when someone can produce more of a good using a given quantity of inputs while comparative advantage is when someone can produce a good at a lower opportunity cost.
 - ☐ D. Comparative advantage applies to all of the resources while absolute advantage only applies to human capital.

Answer: C

Student: _____
Date: _____
Time: _____

Instructor: Alejandro Melo Ponce
Course: ECO108-Summer 2015
Book: Miller: Economics Today 18e

Assignment: Assignment 1

47. Sarah can wash, fold, and iron a basket of laundry in two hours and prepare a meal in one hour. Her roommate Monica can wash, fold, and iron a basket of laundry in three hours and prepare a meal in one hour.

The absolute advantage in laundry is held by

- ☐ A. Sarah.
- ☐ B. Monica.
- ☐ C. neither person.

The comparative advantage in meal preparation is held by

- ☐ A. Monica.
- ☐ B. Sarah.
- ☐ C. neither person.

Answers A

A

-
48. When Adam Smith's ten pin workers specialized, they were able to increase the output of pins in a day from 200 to 48,000. One reason for the increase in pin production was due to

- ☐ A. the threats the supervisor made to fire them if they did not increase output.
- ☐ B. the boredom the workers suffered when they stopped making a whole pin and only concentrated on one task such as straightening the wire.
- ☐ C. the bonus they received when they produced more pins.
- ☐ D. the mastery each worker achieved over his assigned task.

Answer: D

Student: _____
Date: _____
Time: _____

Instructor: Alejandro Melo Ponce
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Book: Miller: Economics Today 18e

Assignment: Assignment 1

49. Canada goes to considerable lengths to protect its television program and magazine producers from U.S. competitors. The United States often seeks protection from food imports from Canada. From an economywide viewpoint, these efforts are
- ☐ A. misguided because the enhanced output from specialization based upon comparative advantage is restricted.
 - ☐ B. desirable since without them Canadian cultural identity will be weakened and the U.S. will suffer food shortages.
 - ☐ C. political motivations to impose government control over various aspects of the two economies.
 - ☐ D. desirable since they protect the jobs of entertainment workers in Canada and farmers in the U.S.

Answer: A

50. Specialization and comparative advantage
- ☐ A. lead to international trade and overall gains for the nations involved.
 - ☐ B. lead to greater productivity.
 - ☐ C. lead to greater output even if you can do everything better than someone else.
 - ☐ D. All of the above.

Answer: D
